XI: ICELANDIC BANKS (EXTRACTS)

Kaupthing was an Icelandic bank, with its headquarters in Reykjavik, that operated internationally. From October 2008 Kaupthing, like other highly leveraged Icelandic banks, was unable to meet its liabilities. The bank was taken over by the Icelandic Financial Supervisory Authority, and is currently being wound up.

This is Kaupthing's 'Large Loan Book', which is a record of the largest sums of money that were lent by the bank. Many of the loans detailed in this document raise a number of very serious questions about Kaupthing's practices, particularly given that large sums of money were loaned to individuals with close links to the bank, often with little security. A number of individuals have been arrested, in Iceland and abroad, following the collapse of the Icelandic banking system. This document was leaked at the end of July 2009.

These extracts give Kaupthing's assessment of the loans made to companies in the Exista Group. These loans total around €1.43 billion, much of which was unsecured. Given that Exista was a major shareholder in Kaupthing, owning around 23 per cent of the bank, this raises serious questions about the way the Kaupthing board (mis)managed its assets, at the expense of depositors.